

FINANCIAL LITERACY

Better Knowledge • Smarter Choices • A Brighter Future



Smart
Money
Habits

MINIMUM BALANCE

Understanding the Money We Keep
in Our Bank Account

Save
Manage
Grow



Topics Covered



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- 2 Minimum Balance
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"Small Steps in Financial Literacy
Create Big Dreams!"



JTS English Medium School



Computer and Financial Literacy

Project Work



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Class: 7



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Financial Literacy

Introduction

Financial literacy is the ability to understand and manage money wisely. It helps us learn about saving, spending, banking, budgeting, and making right financial decisions. In our daily lives, understanding the basic fundamentals of banking is very important for managing our money safely and efficiently.

One such basic fundamental concept or rule is the "minimum balance", which the bank may require a customer to maintain in their account as a monthly average balance. This helps the customer to maintain and save money strictly and it also benefits the bank.

Minimum Balance

Minimum balance is the minimum amount of money that a bank requires an account holder to maintain in their bank account, as specified in the account's terms and conditions. It is usually applicable to certain types of savings or current accounts.

Minimum Balance fine is basically a penalty that the customer has to clear or pay because of inappropriate maintenance of bank balance. The penalty charge or rate depends upon the bank, but in India, it ranges between ₹150–₹600 or more.

Important Note: Minimum balance is the lowest monthly average balance that a customer must maintain in his/her account to avoid any penalty or extra fees. If the monthly average balance of a customer is below the minimum balance of the bank, he/she has to pay the penalty on time to avoid any more additional charges or inconvenience. We must always try to fulfill minimum-balance requirements to avoid penalties, and if we face any penalty, we must clear it on time.



Minimum Balance Penalty



Bonus For Maintaining Minimum Balance

Why is Minimum Balance Important?

Minimum balance is the minimum money amount that the bank requires in a customer's account. It is important because:

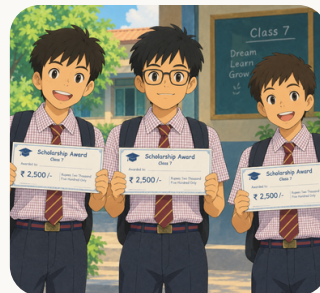
- **Avoids penalties:** Keeping a minimum bank balance amount helps a customer to avoid penalties.
- **Keeps the account active:** Helps to avoid account freezes and deletion.
- **Meets bank requirements:** Some types of bank accounts have minimum-balance conditions. It also helps the customer to get cashbacks and other benefits.

Real Life Example

A MINIMUM BALANCE STORY

Characters: Rohit, Naveen and Arun (school friends), Mr. Nitin (Bank Worker).

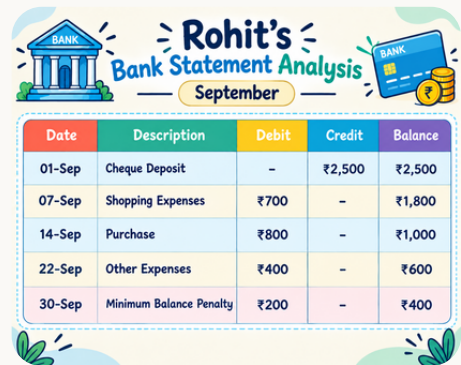
Three friends, Rohit, Naveen, and Arun were given a scholarship of ₹2500 each for securing good ranks in Class 7 Olympiads. So, all of them decided to deposit it in their own accounts.



They altogether went to their bank to get the money into their bank accounts. They met Mr. Nitin, who was an honest man working at the bank. They asked him about the cheque clearance and submitted the cheque. "After 3 to 4 days, the money will be deposited in your accounts," said Mr. Nitin. While the students were leaving the bank, Mr. Nitin told them to use money wisely.

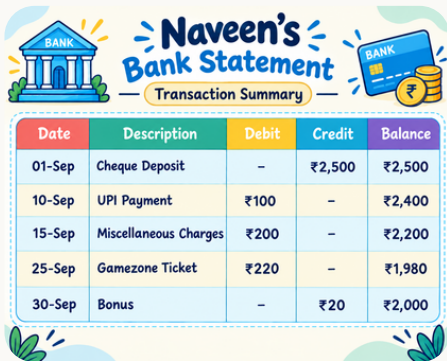
After 3 days, the students checked their bank status and found that the scholarships had been successfully credited into their bank accounts. From that day onwards, Rohit decided to spend, but Arun and Naveen decided to save them.

After one month when they checked their bank statements, they were shocked. Rohit, who spent money carelessly, was very sad and frustrated after checking his monthly bank statement. He had deposited ₹2500 and now it is ₹400, where ₹1900 was his spending and ₹200 was a minimum balance penalty he had to pay for inappropriate maintenance of minimum balance.



Rohit's Bank Statement Analysis
September

Date	Description	Debit	Credit	Balance
01-Sep	Cheque Deposit	-	₹2,500	₹2,500
07-Sep	Shopping Expenses	₹700	-	₹1,800
14-Sep	Purchase	₹800	-	₹1,000
22-Sep	Other Expenses	₹400	-	₹600
30-Sep	Minimum Balance Penalty	₹200	-	₹400

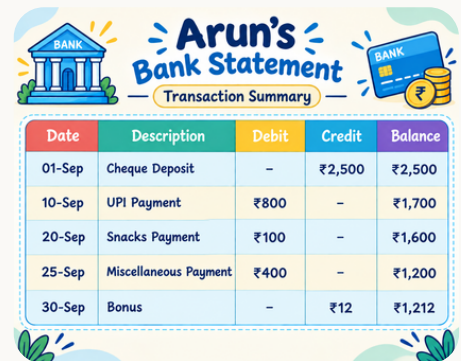


Naveen's Bank Statement
Transaction Summary

Date	Description	Debit	Credit	Balance
01-Sep	Cheque Deposit	-	₹2,500	₹2,500
10-Sep	UPI Payment	₹100	-	₹2,400
15-Sep	Miscellaneous Charges	₹200	-	₹2,200
25-Sep	Gamezone Ticket	₹220	-	₹1,980
30-Sep	Bonus	-	₹20	₹2,000

However, Naveen and Arun were satisfied with their bank statements. Naveen was disciplined and used money wisely. His wisdom of saving money and discipline helped him to save most of his money and had ₹2000 left, with ₹525 spendings only and ₹25 bonus.

Arun was also able to maintain his bank balance. He had ₹1212 left, just enough to fulfill minimum balance requirements to avoid any penalty. He had spent ₹1300 and also got a bonus of ₹12. He spent a lot however, he kept in mind about minimum balance and didn't let the money to be less than the minimum balance and after the month, he had no penalties.



Arun's Bank Statement
Transaction Summary

Date	Description	Debit	Credit	Balance
01-Sep	Cheque Deposit	-	₹2,500	₹2,500
10-Sep	UPI Payment	₹800	-	₹1,700
20-Sep	Snacks Payment	₹100	-	₹1,600
25-Sep	Miscellaneous Payment	₹400	-	₹1,200
30-Sep	Bonus	-	₹12	₹1,212



Naveen and Arun kindly marked and pointed out Rohit's mistake and explained why he needed to pay an extra fee as a penalty, and also told that this was a mistake which people often make. They suggested Rohit use money wisely, do not buy or spend money on unnecessary things, and gave some vital tips to be disciplined and be sensible towards banking.

This incident taught Rohit a lesson about minimum balance and good banking habits.

Moral Of The Story

We should always use money wisely, or else if we are not able to fulfill minimum balance, we will be given a penalty. We should at least keep an amount completely untouched in the bank. Rohit carelessly used money, Naveen did well in savings, and Arun spent much, but he took care of his minimum balance.

Conclusion

This project helped me understand the practical importance of both computer skills and financial literacy in our daily lives. Through the study of Financial Literacy, I learned about minimum balance and banking fundamentals which helps people do avoid penalties and gain banking benefits.

Overall, this project has improved my knowledge of technology and has also improved my financial literacy that will help me for a lifetime.